

The complaint

Mr and Mrs G are unhappy that Legal and General Insurance Limited, now called Fairmead Insurance Limited, declined two claims they made on their home insurance policy.

What happened

Mrs and Mr G bought their property in September 2019. They took out their home insurance a few days after purchase. A few weeks after they'd moved into their property, they said they noticed there was some distortion to the floorboards beneath the lino in the downstairs bathroom and that the floor in the kitchen felt soft underfoot.

Before they bought their property, Mr and Mrs G commissioned a full structural survey, which was completed around two months before they moved in. The survey included an assessment of internal walls and floors and didn't note any issues with the downstairs bathroom or kitchen floors.

Mr G called Fairmead after he'd arranged a specialist firm, D to carry out a leak detection survey. Mr G told Fairmead he thought the leaks had happened before he'd moved into the property and Fairmead said there was potential cover in place regardless of whether or not the damage happened when the previous owners lived at the property.

D's survey didn't find any active leaks in the kitchen or the downstairs bathroom. It said the kitchen floor water damage appeared to be historic, was most likely caused by an escape of water from the services within the kitchen and had caused decay and darkening. It said the water damage to the downstairs bathroom floor had most likely been caused by an escape of water from the pipe connecting the WC to the cistern and that there was mould on the water damage. D recommended that drying systems be installed, the downstairs bathroom floor and vanity unit be removed and the kitchen floor coverings be removed.

Fairmead's loss adjuster (LA) assessed the damage to the kitchen floor. LA thought the previous owner's dishwasher may have leaked and that Mr and Mrs G had inherited the previous owner's damage. LA took photos that showed the kitchen floor was continuous into the utility room. LA didn't appear to carry out its own assessment of the downstairs bathroom. Mr and Mrs G sent Fairmead a copy of D's report.

Fairmead declined Mr and Mrs G's claims because it thought the escapes of water occurred before inception of their policy. Mr and Mrs G felt Fairmead had told them the claims would be covered and so wanted it to act on that. Mr and Mrs G were also unhappy LA had been appointed even though they'd told Fairmead the damage was historical and Fairmead would have only declined the claims. They said LA's inspection delayed them putting right the damage themselves for three weeks. Fairmead said it had appointed LA to find out when the leaks occurred.

Fairmead issued its final response letter. It said the damage present was not the result of a recent issue with the dishwasher and appeared "*to have been ongoing for some time*". Fairmead said Mr G told it the leak had been ongoing. Fairmead said the call handler should

have explained the claim would be declined if the cause of the damage occurred prior to the start date of the policy and offered them £50 compensation.

Mr and Mrs G brought their complaint to us. They felt Fairmead should cover their claims. They wanted more compensation and were unhappy Fairmead said they'd told it the escapes of water were ongoing when they hadn't.

Our investigator didn't uphold the complaint. She didn't think it unreasonable that LA attended despite the damage being pre-existing, as it would have been unfair for Fairmead to decline the claim without investigating it. She said Mr and Mrs G would still have had to repair their property and felt £50 was reasonable compensation. Our investigator didn't give a view on whether Fairmead should have declined the claims.

Mr and Mrs G requested an ombudsman's decision. They felt our investigator hadn't properly taken into account that they'd been told they'd be covered. They felt the compensation wasn't enough for the time they'd taken off work for LA's visit, the time they'd spent pursuing the claim and for being left without a proper floor over Christmas.

Mr and Mrs G provided photos showing they'd replaced the kitchen floor which was continuous into the utility room. They'd replaced the downstairs bathroom floor covering but hadn't replaced the WC and vanity unit because of budget issues.

After I'd considered all the available evidence to decide what's fair and reasonable in the circumstances of this complaint, I reached a different outcome to our investigator. Because the outcome was different, I issued a provisional decision giving both parties a further chance to comment on my findings ahead of issuing my final decision.

My provisional decision

My provisional decision was that I was minded to uphold Mr and Mrs G's complaint by requiring Fairmead to accept their claims and to pay compensation for the trouble and upset it caused them by its handling and decision on their claims.

I explained my provisional findings to both parties as follows:

"I can see that their policy covers 'escape of water'. And that the policy under the "Definitions" section in the "Home Policy Wording" of the documentation on page 18 it says that "buildings" includes "wooden, laminate and vinyl floor coverings".

So I am satisfied that damage caused by escapes of water to flooring of the type Mr and Mrs G had in their kitchen and downstairs bathroom is an insured event. But Fairmead declined Mr and Mrs G's claims because the escapes of water occurred before the start date of their policy.

Under the "General Exceptions" heading of Mr and Mrs G's policy wording it says:

"Your insurer will not pay for:.....Existing damage. Any loss, damage, injury or accident occurring, or arising from, an event, before the period of insurance commences."

It would appear that the escapes of water most likely happened before Mr and Mrs G moved into their property. But I don't think it's fair for Fairmead to have declined their claims for this reason. I'll explain why.

Before purchasing their property, Mr and Mrs G commissioned a full structural survey which didn't note any issues with the flooring. Mr and Mrs G say they noticed problems with the floors a few weeks after they'd moved in. So I don't think on balance anyone – including the previous owners or the surveyors – would have known there was damage to the floor before the start of Mr and Mrs G's policy. And as I don't think Mr and Mrs G knew there was existing damage, I think it's unfair for Fairmead to decline their claims for this reason.

Mr and Mrs G's policy contains a clause excluding from cover damage that happens gradually over time. Our usual approach is that it's unfair for insurers to exclude claims on these grounds if the consumer wouldn't have reasonably been aware of damage happening gradually. Mr and Mrs G didn't live at the property when it's likely the escapes of water happened. They were prevented from noticing the damage to the floor as it didn't become apparent until after inception. They'd done all they reasonably could as house buyers to identify any issues by commissioning a full structural survey. So I don't think it would be fair for Fairmead to decline Mr and Mrs G's claims because the damage happened gradually either.

So for the above reasons, I intend to require Fairmead to accept both claims.

It's not unreasonable for Mr and Mrs G to have gone ahead and restored the damage themselves when the claims were declined. And because I think it wasn't fair for Fairmead to have declined Mr and Mrs G's claim at the outset, I think Mr and Mrs G should receive back from Fairmead what it cost them to restore the damage (less relevant excesses) and not what it would have cost Fairmead to carry out the restoration. But I think it would be fair for Fairmead to settle any parts of the claims where restoration that hasn't yet commenced in line with the above policy terms. I also note Mr and Mrs G have cover for tracing and accessing leaks inside the home, and because I think Fairmead should have accepted the claims, I'm minded to require Fairmead to also pay Mr and Mrs G the cost of D's report.

I think Mr and Mrs G should be awarded some compensation for the trouble and upset caused to them by Fairmead declining their claims. Mr and Mrs G say they want more compensation than the £50 Fairmead offered them for delays caused by sending LA to assess the damage. But I think Fairmead would still have needed to send LA to assess the claims if Fairmead had accepted them.

Mr and Mrs G say they were left without a kitchen floor over Christmas. Mr and Mrs G were able to restore their kitchen floor themselves, but I cannot make a finding on whether the floor would have been restored any sooner if Fairmead had accepted their claim. But I think Mr and Mrs G's downstairs bathroom would have been restored sooner. So I think they should be awarded some compensation for the trouble and upset this delay has caused them."

Responses to my provisional decision

Fairmead requested and reviewed a copy of Mr and Mrs G's structural survey report and then accepted my provisional decision and didn't provide any further comment or information. Mr and Mrs G provided some additional arguments and some new information in response.

Mr and Mrs G said that when I issued my provisional decision, they'd already received a quote for the restoration of their downstairs bathroom, but that work hadn't yet commenced. Mr and Mrs G asked in their response if this quote could instead "serve as a fair basis for compensation for the work which is due to commence" along with another, verbal, provisional quote they'd received for fitting costs for about £350.

Mr and Mrs G's policy says:

"If you make a claim or possible claim under this policy, your insurer will at their option:...) Repair, reinstate or replace the lost, damaged or stolen property or pay the cost of reinstatement through a repair or replacement network nominated by your insurer"

Mr and Mrs G were aware of my provisional finding on any outstanding work before restoration of their downstairs toilet had begun. And Fairmead accepted my provisional decision. So, it wouldn't be fair now for me to instruct Fairmead to pay Mr and Mrs G's costs according their quotes as this could cost Fairmead more than settling the outstanding parts of the claim in line with the above policy term. So Fairmead can settle the outstanding parts of the claim either by using its own suppliers or by paying Mr and Mrs G what it would have cost Fairmead to use its own suppliers and in line with any other relevant policy terms.

I appreciate this could mean Mr and Mrs G may need to wait a little longer than if they went ahead and carried out the work themselves. But the compensation I provisionally awarded had taken into account that Mr and Mrs G would be without a downstairs toilet until Fairmead settled their claim.

Mr and Mrs G said that for two months during 2020, Mr G had to use an upstairs toilet whilst on crutches. Mr and Mrs G felt that the provisional compensation wouldn't have taken this into account. I'm sorry to hear that Mr G injured his leg during 2020, but I still think £400 is fair and reasonable compensation for Mr and Mrs G's trouble and upset because, despite his injury, Mr G was able to access another toilet at his property.

So, for the reasons outlined above I see no reason to depart from my provisional findings.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've considered the responses of both parties to my provisional decision.

Fairmead has accepted my provisional decision and Mr and Mrs G's responses haven't persuaded me to depart from my provisional findings. So, I've decided to uphold Mr and Mrs G's complaint in line with my provisional decision and for largely the same reasons.

My final decision

I uphold Mr and Mrs G's complaint. I instruct Fairmead Insurance Limited to accept both of Mr and Mrs G's claims.

I instruct Fairmead Insurance Limited to (subject to relevant policy excesses and Mr and Mrs G providing copies of invoices to Fairmead Insurance Limited) to:

- pay Mr and Mrs G the costs they've paid to trace the escapes of water and
- pay Mr and Mrs G the costs they'd paid for any restoration they'd undertaken because of the escapes of water before receiving my provisional decision.

Where restoration work due to the escapes of water hadn't commenced before Mr and Mrs G received my provisional decision, I instruct Fairmead Insurance Limited to settle any remaining parts of the claims in line with Mr and Mrs G's policy's terms and conditions.

I require Fairmead Insurance Limited to pay interest on Mr and Mrs G's costs from the date Mr and Mrs G first notified Fairmead Insurance of their claims at 8% a year simple. If Fairmead Insurance Limited considers that it's required by HM Revenue & Customs to deduct income tax from that interest, it should tell Mr and Mrs G how much it's taken off. It should also give Mr and Mrs G a certificate showing this if they ask for one, so they can reclaim the tax from HM Revenue & Customs if appropriate.

I require Fairmead Insurance Limited to pay Mr and Mrs G a total of £400 for their trouble and upset. If Fairmead Insurance Limited has already paid Mr and Mrs G any compensation, it should deduct this from the £400 total compensation.

Fairmead Insurance Limited must pay the compensation within 28 days of the date on which we tell it Mr and Mrs G accept my final decision. If it pays later than this, it must also pay interest on the compensation from the date of my final decision to the date of payment at 8% a year simple.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs G and Mr G to accept or reject my decision before 1 March 2021.

Ruth Peek
Ombudsman